CHAPTER 15

Technique of Selecting Preferred Stocks for Investment

OUR DISCUSSION OF THE THEORY of preferred stocks led to the practical conclusion that an investment preferred issue must meet all the requirements of a good bond, with an extra margin of safety to offset its contractual disadvantages. In analyzing a senior stock issue, therefore, the same tests should be applied as we have previously suggested and described with respect to bonds.

More Stringent Requirements Suggested. In order to make the quantitative tests more stringent, some increase is needed in the minimum earnings coverage above that prescribed for the various bond groups. The criteria we propose are as follows:

Minimum Average-earnings Coverage

Class of enterprise	For investment bonds	For investment preferred stocks
Public utilities	$1\frac{3}{4}$ times fixed charges	2 times fixed charges plus preferred dividends
Railroads	2 times fixed charges	$2\frac{1}{2}$ times fixed charges plus preferred dividends
Industrials	3 times fixed charges	4 times fixed charges plus preferred dividends

These increases in the earnings coverage suggest that a corresponding advance should be made in the stock-value ratio. It may be argued that since this is a secondary test it is hardly necessary to change the figure. But consistency of treatment would require that the minimum stock-value coverage be raised in some such manner as shown in the table that follows.